

Principles of Management

Course: ATD — Accounting Technicians Diploma

Level: Level II

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Syllabus version: Based on the standard KASNEB ATD Level II Principles of Management syllabus topics — management functions, organisational structure, motivation, leadership, and communication. Authored from general professional management knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. What is management?

Management is the process of working with and through people and other resources (money, materials, information, time) to accomplish an organisation's goals efficiently and effectively. Two words matter here:

- **Efficient** — using the minimum necessary resources to achieve a given result (doing things right).
- **Effective** — actually achieving the intended goal (doing the right things).

A manager can be highly efficient (very economical) while still being ineffective (achieving the wrong outcome), and vice versa — good management aims for both together.

2. The functions of management

Management is commonly broken down into five core functions, often remembered by the acronym **POSDC** (or the closely related "POLC"):

- **Planning** — setting objectives and deciding in advance the course of action needed to achieve them.
- **Organising** — arranging resources and tasks (people, work, authority) into a coherent structure capable of carrying out the plan.
- **Staffing** — recruiting, selecting, training, and placing the right people into the roles the organisation structure requires.
- **Directing (leading)** — guiding, supervising, and motivating people to carry out their assigned tasks willingly and effectively.
- **Controlling** — measuring actual performance against the plan, and taking corrective action where there is a significant deviation.

These functions are continuous and overlapping in practice, not a strict one-time sequence — a manager typically cycles back through them as circumstances change.

3. Levels of management

- **Top-level management** (e.g. board of directors, chief executive) — sets the overall mission, vision, and long-term strategy; deals mainly with the external environment and long-range planning.
- **Middle-level management** (e.g. department/branch managers) — translates top-level strategy into departmental plans and targets, and coordinates the work of first-line managers.
- **First-line (supervisory) management** (e.g. supervisors, team leaders) — directly oversees the day-to-day work of operational employees, focusing on short-term, task-level

direction and control.

As you move from first-line to top management, the balance of time spent typically shifts from technical/operational skills toward conceptual and strategic skills, while human/interpersonal skill remains important at every level.

4. Organisational structures

- **Functional structure** — groups employees by the specialist function they perform (e.g. finance, marketing, production), promoting specialisation and efficiency but potentially creating silos between departments.
- **Divisional structure** — groups employees around a product line, geographic region, or customer group, giving each division more autonomy and accountability for its own results.
- **Matrix structure** — combines functional and divisional/project reporting lines, so an employee may report to both a functional manager and a project/product manager — flexible, but can create dual-authority conflicts.
- **Flat structure** — few management layers and a wide span of control, encouraging faster communication and more employee autonomy.
- **Tall structure** — many management layers and a narrow span of control at each level, allowing closer supervision but slower communication and higher management overhead.

Span of control — the number of subordinates a single manager directly supervises. A narrow span allows closer supervision but requires more managers (a taller structure); a wide span requires fewer managers (a flatter structure) but each manager has less time to devote to any one subordinate.

5. Motivation theories

- **Maslow's hierarchy of needs** — people are motivated by an ascending order of needs: physiological, safety, social (belonging), esteem, and self-actualisation; a satisfied need generally stops motivating behaviour, and the next level up becomes the active driver.
- **Herzberg's two-factor theory** — distinguishes **hygiene factors** (e.g. salary, working conditions, company policy) whose absence causes dissatisfaction but whose presence does not itself motivate, from **motivators** (e.g. achievement, recognition, responsibility) whose presence genuinely drives higher performance and satisfaction.
- **McGregor's Theory X and Theory Y** — Theory X assumes employees are inherently unmotivated and need close control/direction; Theory Y assumes employees can be self-

directed and find satisfaction in their work if properly trusted and engaged; a manager's assumptions about which is true shapes how they choose to manage.

6. Leadership styles

- **Autocratic (authoritarian) leadership** — the leader makes decisions unilaterally with little or no input from subordinates; can be fast and decisive but may lower morale and initiative over time.
 - **Democratic (participative) leadership** — the leader involves subordinates in decision-making; tends to build commitment and morale, though it can be slower to reach a decision.
 - **Laissez-faire leadership** — the leader delegates most decision-making to subordinates and intervenes minimally; can work well with highly skilled, self-motivated teams, but risks lack of direction with less experienced ones.
 - **Situational leadership** — the idea that no single style is universally best; an effective leader adapts their style to the specific task, the team's competence, and the circumstances at hand.
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7. Communication in organisations

- **Formal communication** — flows through the organisation's official structure and channels (e.g. memos, official reports, scheduled meetings).
- **Informal communication** — flows outside formal channels (e.g. casual conversation, the office "grapevine"); fast, but can distort information as it spreads.
- **Downward communication** — flows from higher to lower levels (e.g. instructions, policies).
- **Upward communication** — flows from lower to higher levels (e.g. progress reports, employee feedback, grievances).
- **Horizontal (lateral) communication** — flows between people or departments at a similar level, supporting coordination across functions.

Common barriers to effective communication: unclear language/jargon, information overload, physical/organisational distance, differing perceptions or assumptions between sender and receiver, and a lack of feedback confirming the message was understood as intended.

8. Decision-making in management

A typical rational decision-making process:

1. Identify and clearly define the problem or opportunity.
2. Gather relevant information.
3. Identify feasible alternative courses of action.
4. Evaluate each alternative against relevant criteria (cost, risk, time, alignment with objectives).
5. Select the best available alternative.
6. Implement the chosen decision.
7. Monitor the outcome and adjust as needed.

Decisions are commonly classified as **programmed** (routine, repetitive, governed by an established rule or procedure) or **non-programmed** (novel, unstructured, requiring fresh judgement each time).

9. Full worked question — span of control and organisational design

Scenario. Amani Retailers has 240 shop-floor employees. Management is deciding between two organisational designs: Design A, where each supervisor manages 8 employees, or Design B, where each supervisor manages 20 employees.

Required: (a) Compute the number of supervisors needed under each design. (b) Briefly advise management on one advantage and one disadvantage of each design.

Solution:

(a) Number of supervisors required = Total employees ÷ Span of control

Design A: $240 \div 8 = \mathbf{30 \text{ supervisors}}$

Design B: $240 \div 20 = \mathbf{12 \text{ supervisors}}$

(b) **Design A (narrow span of control, taller structure):**

- *Advantage:* Each supervisor oversees fewer people, allowing closer supervision, more individual attention, and tighter control over performance.
- *Disadvantage:* Requires significantly more supervisors (higher management cost), and more layers can slow down communication and decision-making.

Design B (wide span of control, flatter structure):

- *Advantage:* Fewer supervisors needed, lower management overhead, faster communication with fewer layers to pass through.

- *Disadvantage:* Each supervisor has less time available per employee, which can weaken close supervision and individual support if employees are inexperienced or the work is complex.
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10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB ATD examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

ATD LEVEL II — PRINCIPLES OF MANAGEMENT (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Distinguish between "efficiency" and "effectiveness" in management, giving one example of each. (6 marks)
 - (b) Outline the five core functions of management. (10 marks)
 - (c) Explain why the functions of management are described as continuous and overlapping rather than a strict one-time sequence. (4 marks)
- (Total: 20 marks)
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QUESTION TWO

- (a) Distinguish between top-level, middle-level, and first-line management, giving one example role at each level. (9 marks)
 - (b) Explain how the balance of managerial skills required (technical, human, conceptual) changes as a manager moves from first-line to top-level management. (6 marks)
 - (c) Define "span of control." (5 marks)
- (Total: 20 marks)
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QUESTION THREE

Faraja Manufacturing has 180 production employees and is deciding between assigning each supervisor 15 employees or 30 employees.

Required:

- (a) Compute the number of supervisors needed under each option. *(6 marks)*
- (b) Explain ONE advantage and ONE disadvantage of a narrow span of control. *(6 marks)*
- (c) Distinguish between a "flat" organisational structure and a "tall" organisational structure. *(8 marks)*

(Total: 20 marks)

QUESTION FOUR

- (a) Explain Herzberg's two-factor theory of motivation, distinguishing hygiene factors from motivators. *(10 marks)*
- (b) Explain McGregor's Theory X and Theory Y assumptions about employees. *(6 marks)*
- (c) Explain ONE practical implication for a manager who holds Theory Y assumptions about their team. *(4 marks)*

(Total: 20 marks)

QUESTION FIVE

- (a) Distinguish between autocratic, democratic, and laissez-faire leadership styles. *(9 marks)*
- (b) Outline the steps in a rational decision-making process. *(7 marks)*
- (c) Distinguish between a "programmed" and a "non-programmed" decision, giving one example of each. *(4 marks)*

(Total: 20 marks)

11. Marking guide — model answers to the practice examination

QUESTION ONE

- (a) *(6 marks)* — Efficiency is using the minimum necessary resources to achieve a result ("doing things right"), e.g. producing a batch of goods at the lowest possible cost. Effectiveness is actually achieving the intended goal ("doing the right things"), e.g. meeting the sales target regardless of the cost incurred to get there.

(b) (10 marks — 2 marks each) — Planning (setting objectives and the course of action to reach them); Organising (arranging resources/tasks into a structure); Staffing (recruiting, training, placing the right people); Directing/Leading (guiding and motivating people); Controlling (measuring performance against the plan and correcting deviations).

(c) (4 marks) — Because circumstances change continuously, a manager must repeatedly cycle back through planning, organising, staffing, directing and controlling rather than completing each once and moving on permanently.

QUESTION TWO

(a) (9 marks — 3 marks each) — Top-level (e.g. CEO/board): sets mission, vision, long-term strategy. Middle-level (e.g. department manager): translates strategy into departmental plans, coordinates first-line managers. First-line (e.g. supervisor): directly oversees day-to-day operational work.

(b) (6 marks) — Moving from first-line to top-level management, the emphasis shifts from technical/operational skill toward conceptual and strategic skill, while human/interpersonal skill remains important at every level.

(c) (5 marks) — Span of control is the number of subordinates a single manager directly supervises.

QUESTION THREE

(a) (6 marks) — $180 \div 15 = 12$ supervisors; $180 \div 30 = 6$ supervisors.

(b) (6 marks) — Advantage: closer supervision and more individual attention per employee. Disadvantage: requires more supervisors, raising management cost and potentially slowing communication through extra layers.

(c) (8 marks) — A flat structure has few management layers and a wide span of control, encouraging faster communication and more employee autonomy. A tall structure has many management layers and a narrow span of control, allowing closer supervision but slower communication and higher management overhead.

QUESTION FOUR

(a) (10 marks) — Hygiene factors (e.g. salary, working conditions, company policy) — their absence causes dissatisfaction, but their presence does not itself motivate higher performance. Motivators (e.g. achievement, recognition, responsibility) — their presence genuinely drives higher performance and satisfaction.

(b) (6 marks) — Theory X assumes employees are inherently unmotivated and need close control/direction. Theory Y assumes employees can be self-directed and find genuine satisfaction in their work if properly trusted and engaged.

(c) (4 marks) — A manager holding Theory Y assumptions is likely to delegate more responsibility, involve employees in decisions, and rely less on close supervision/strict control.

QUESTION FIVE

(a) (9 marks — 3 marks each) — Autocratic: leader decides unilaterally, little subordinate input — fast but can lower morale. Democratic: leader involves subordinates in decisions — builds commitment, can be slower. Laissez-faire: leader delegates most decisions and intervenes minimally — works well with skilled, self-motivated teams.

(b) (7 marks) — Identify/define the problem → gather relevant information → identify feasible alternatives → evaluate alternatives against relevant criteria → select the best alternative → implement it → monitor the outcome and adjust as needed.

(c) (4 marks) — A programmed decision is routine/repetitive, governed by an established rule (e.g. approving standard staff leave requests). A non-programmed decision is novel/unstructured, requiring fresh judgement (e.g. deciding whether to enter a new export market).

12. Exam technique and revision checklist

- Span-of-control questions: always show the division ($\text{Total employees} \div \text{Span of control}$) explicitly, and don't forget to round sensibly if the numbers don't divide evenly.
- Motivation theory questions: always name the theory correctly and pair each category with a concrete example (a hygiene factor vs a motivator, or a level of Maslow's hierarchy) — a description without the correct label loses marks.
- Leadership-style questions: describe each style with both what the leader does AND one practical consequence (an advantage or risk) — a bare definition alone earns partial marks only.
- Organisational-structure questions ("distinguish flat vs tall," "distinguish functional vs divisional"): always answer with a clear point-by-point contrast, not two separate unconnected paragraphs.
- Decision-making questions: present the process as an ordered list — the sequence itself is often part of what's being tested.

Quick revision — one line per topic:

1. Management = achieving goals efficiently (minimum resources) and effectively (right outcome) through people and resources.
2. Five functions: Planning, Organising, Staffing, Directing, Controlling.
3. Three management levels: top (strategy), middle (coordination), first-line (day-to-day supervision).

4. Span of control: narrow = taller structure, closer supervision; wide = flatter structure, less supervision time per person.
 5. Structures: functional (by specialism), divisional (by product/region), matrix (dual reporting), flat vs tall.
 6. Maslow: physiological → safety → social → esteem → self-actualisation.
 7. Herzberg: hygiene factors prevent dissatisfaction; motivators drive real performance/satisfaction.
 8. McGregor: Theory X (needs control) vs Theory Y (self-directed, trusted).
 9. Leadership styles: autocratic (unilateral), democratic (participative), laissez-faire (delegated), situational (adapts to context).
 10. Decisions are programmed (routine, rule-based) or non-programmed (novel, judgement-based).
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End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.